

What is cryptocurrency?

Cryptocurrency is a cryptography-secured virtual or digital form of currency. The concept of cryptocurrency was initiated to avoid banking frauds and government control over the currency market. Later, this concept came up with elegant implementation in terms of public transaction. You can consider cryptocurrency a digital token of money that can be securely transmitted across the globe without government intervention. The value of cryptocurrencies in terms of government currencies is volatile and often fluctuates. That is why these cryptocurrencies act as a stock market-like investment platform. Implementing blockchain technology helps these currencies track each transaction record uniquely in every node of the network, making this one of the most secure ways of transaction. Some of the most popular cryptocurrencies are Bitcoin, Ethereum and Litecoin.

Advantages of cryptocurrency

1. **No inflation:** Being aloof from traditional economic manipulation, these currencies are devoid of inflation and interest rate influences. It is also a global currency, so a particular nation's financial crisis doesn't affect the value of cryptos.
2. **Decentralised:** Decentralisation is another significant point to believe in cryptocurrencies. No organisation or government can control their flow.
3. **Money across the borders:** International transactions have been a cakewalk with the invention of cryptocurrencies. These are low-cost transactions to perform concerning traditional taxable transactions.
4. **Security:** With blockchain technology, a node or block is implemented in every corner of the global network. And each one of these blocks gets updated with transactions from anywhere in the network. So, multiple copies of data are present in the network, making it safe and secured in terms of your money. There can be no fraudulent activity with your assets being recorded at multiple nodes. Also, these networks are secured by cryptographic encryption algorithms.

How to invest in cryptocurrency?

Due to the advancement of technology, it is not a very difficult task to gain some basic knowledge to invest in the right type of crypto exchange method. It is not necessary to have prior knowledge to invest in cryptocurrency. Still, a little homework can prove beneficial for the investors.